PUBLIC CONSULTATION DOCUMENT

Revisions to Chapter VII of the OECD Transfer Pricing Guidelines

Special considerations for intra-group services

1 June – 22 July 2026

BETTER POLICIES FOR BETTER LIVES

Public Consultation Document
Special Considerations for Intra-group Services

Background

In light of the growing significance of services in cross-border economic activity, guidance on the transfer pricing treatment of intra-group services remains of substantial practical relevance.

Working Party No. 6 (WP6) of the Committee on Fiscal Affairs (CFA) has been working to update and modernize the existing provisions in Chapter VII of the OECD Transfer Pricing Guidelines for Multinational Enterprises and Tax Administrations (OECD Transfer Pricing Guidelines).

The primary objective of this work is to ensure alignment between the guidance on intra-group services and the foundational principles in Chapters I, II and III of the OECD Transfer Pricing Guidelines. The revisions also seek to further enhance clarity and provide practical illustrations through the inclusion of new examples. The revisions are not intended to change the general principles underlying the transfer pricing analysis of intra-group services.

This discussion draft presents proposed revisions relating to the accurate delineation of intra-group services, the determination of the arm's length charge and other conditions for such services, documentation considerations intended to supplement the guidance in Chapter V, and new examples illustrating the application of the principles described in the guidance. The section on "Low value-adding intra-group services" reproduces the existing approach in the OECD Transfer Pricing Guidelines; its content has only been adapted to update cross-references where necessary.

Invitation for Comments

Stakeholders are invited to comment on all aspects of this discussion draft, including the extent to which the objectives of this work have been met. The draft includes several specific questions for public commentators on matters for which input will be particularly valuable to WP6 in advancing its work and preparing subsequent iterations of the draft following consideration of the comments received.

Interested parties are invited to submit their comments on this discussion draft by Wednesday, 22 July 2026. Comments should be sent via email to taxpublicconsultation@oecd.org in Word format to facilitate distribution to government officials. Submissions should be addressed to the OECD Centre for Tax Policy and Administration.

The OECD intends to hold a public consultation on this discussion draft in November 2026 at the OECD Conference Centre in Paris, France. Registration details will be published on the OECD website in due course. Speakers and participants will be selected from among those providing timely written comments.

Please be advised that all comments received will be made publicly available. Comments submitted on behalf of a collective "grouping" or "coalition", or by any person acting submitting comments on behalf of another person or group of persons, should clearly identify all enterprises or individuals who are members of that collective group, or the person(s) on whose behalf the commentator(s) are acting.

Status of the Discussion Draft

The publication of this discussion draft reflects the views of WP6 delegates that this is an appropriate time to invite input from stakeholders, but it does not, at this stage, represent the consensus views of the CFA or its subsidiary bodies that any portion of the content of this draft should be adopted in an updated version of Chapter VII. This discussion draft is merely intended to provide stakeholders with substantive proposals for potential revisions and additions to the current version of Chapter VII for analysis and comment. Taxpayers and tax administrations should not rely on the approaches discussed in this discussion draft.

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Chapter VII
Special considerations for intra-group services

A. Introduction

7.1. This chapter discusses transfer pricing issues that arise in determining whether intra-group services have been provided and, if so, in establishing arm's length pricing for those intra-group services.

7.2. Nearly every MNE group must arrange for a wide scope of intra-group services. There are intra-group services that are part of the core business of the MNE group and that are required to generate revenue and realize profit such as research, development, production or marketing. There are intra-group services that MNE groups make available to all or some of its members to function efficiently, such as administrative or financial services. The guidance in this chapter applies to all types of intra-group services and should be read in conjunction with Chapters I-III.

7.3. An independent enterprise may acquire a service from an independent provider or may perform the service for itself (i.e. in-house). In a similar way, a member of an MNE group may acquire a service from independent enterprises, from one or more associated enterprises, or may perform the service for itself. Depending on the nature of the services, business needs and operational structure, MNE groups can adopt various organisational models for the provision of intra-group services. In this regard, MNE groups are free to organise their operations as they see fit with the goals of maximising their profitability and enhancing their competitiveness in the market. In doing so, MNE groups aim at arranging services efficiently without incurring unnecessary costs. While the costs of rendering a service are important, other factors may justify an MNE group's decision to secure the service within the MNE group such as consistency in the quality and nature of the services across the MNE group, economies of scale or greater specialization; the reliability of the service provider; ensuring the legal protection of intangibles used in delivering the services; or providing guidance on overall business activity.

7.4. Tax administrations should not dictate how an MNE should source services. The role of tax administrations, rather, is to determine the tax consequences of the transaction, including its evaluation under the arm's length principle. Correspondingly, MNEs should provide tax administrations with the information necessary to substantiate their position with respect to intra-group services. Additional information requests should be reasonable considering the materiality of the transaction and the compliance burden. Consistent with the requirements that the accurate delineation of the transaction must take into account all relevant facts and circumstances, the existence of an intra-group service may also be demonstrated through additional contemporaneous information provided in a timely manner other than the documentation outlined in Chapter V and Section D.

B. Accurate delineation of intra-group services

7.5. The first step of the transfer pricing analysis is to identify the commercial and financial relations between the associated enterprises and the conditions and economically relevant circumstances attached to those relations to accurately delineate the intra-group service transaction. See Section D.1 of Chapter I.

7.6. Particular labels or descriptions assigned to intra-group services do not determine the transfer pricing analysis. For example, the mere description of a payment to an associated enterprise as a service fee or the existence of written contracts or similar documents with respect to purported services should not, by itself, be treated as evidence that services have been rendered. Furthermore, the fact that a payment is made to an associated enterprise for purported services (e.g. for "administrative services") is not sufficient evidence to assert the existence of an intra-group service transaction. Likewise, the fact that a transaction has not been identified as a transaction by the MNE, or the absence of payments or contractual agreements should not automatically lead to the conclusion that no intra-group services have been rendered. See paragraph 1.49 of Chapter I.

7.7. There should not be a presumption that a service transaction exhibits economically relevant characteristics that mean it can be reliably priced using a one-sided method. Equally, when a one-sided method is applicable, there should not be a presumption that either the service provider or the service recipient is the tested party. Instead, such determinations should be made after performing an accurate delineation, having considered the economically relevant characteristics of the controlled transaction. See Section D.1 of Chapter I.

7.8. As with all intra-group transactions, the functional analysis plays an important role in performing an accurate delineation. The outcome of the accurate delineation of services may be different depending, for instance, on the assumption of risks by the parties involved. The conclusion of the functional analysis of a service provider that owns relevant assets, makes non-routine contributions, makes key decisions, and assumes most of the economically significant risks related to the service will be significantly different from the conclusion reached where the service provider performs routine activities under the supervision of the service recipient or another party, and assumes only limited risks.

7.9. For purposes of accurately delineating an activity as an intra-group service, it is necessary to understand any interdependencies among the activities performed by the service provider and the service recipient with respect to other controlled transactions that they have in place, as well as the activities performed by other entities within the MNE group.

7.10. The functional analysis of each of the parties to the intra-group service transaction will consider the structure and organisation of the MNE group. For example, the parent company in a decentralised MNE group may spend a larger proportion of its intra-group activity on monitoring its investments as a shareholder. See Section B.2.1. In contrast, in a centralised group, the parent company may spend a larger proportion of its intra-group activity making decisions (e.g. key strategic decisions) concerning the affairs of its subsidiaries and support the implementation of these decisions by performing activities such as treasury management, marketing, and supply chain management.

7.11. The manner in which the MNE group secures the provision of services is also important. For example, the MNE group could centralise the provision of intra-group services in a single entity that specialises in certain activities, or source the necessary services from other associated enterprises or independent parties. That entity may act as an intermediary, matching service needs with providers and taking on only limited operational risks; or, it may supply the services directly to other affiliates, taking on greater risks and possibly using valuable assets in delivering these services. Alternatively, the MNE group may have a decentralized structure for the provision of services, where multiple entities within the group provide intra-group services. Another possibility would be for members of an MNE group to obtain services through a service cost contribution arrangement, pooling resources and skills to provide services in exchange for a reasonable expectation of mutual benefits.[1]

7.12. In delineating intra-group services, the assets used or contributed by the parties to the transaction are also relevant. An entity performing services will generally employ assets that may include premises, equipment, goods (e.g. raw materials, packaging materials or finished goods) or intangibles (e.g. know-how, proprietary databases or systems, marketing intangibles, patents, manufacturing processes or licenses to exploit intangibles owned by another entity). For example, assume that Company B provides manufacturing services to its parent, Parent Co. The production process relies heavily on a specialized production line, including robotics and quality-control machinery. The functional analysis shows that Company B owns and uses these machines solely in rendering the manufacturing services to Parent Co. The unique and valuable intangibles used to provide the manufacturing services have been developed by Parent Co. Parent Co authorises Company B to use those intangibles for the performance of the manufacturing services while Parent B is responsible for the maintenance and further development of the intangibles, assuming the economically significant risks inherent to those intangibles. The comparability analysis and the selection of the most appropriate transfer pricing method should ensure an arm's length remuneration to Company B for its manufacturing services, taking into account that Parent Co contributed the intangible assets. See Section C.2 of Chapter VI and Annex I, Example 18.

B.1 Determining whether intra-group services have been rendered

B.1.1. Definition of the benefit test

7.13. The accurate delineation of intra-group services includes the assessment of whether the service has been performed. This assessment is known as the "benefit test" and requires the determination of whether the activity of one group member provides another group member with economic or commercial value to enhance or maintain its business position. This is determined by considering whether an independent enterprise in comparable circumstances would have been willing to pay for the activity if performed for it by another independent enterprise or would have performed the activity in-house for itself. If the activity is not one for which an independent enterprise in comparable circumstances would have been willing to pay or perform for itself, then it should not be considered that an intra-group service transaction has occurred. Furthermore, the fact that the intra-group service transaction may not be found between independent parties is not sufficient grounds to conclude that the benefit test has not been met or to disregard the controlled transaction for transfer pricing purposes. See paragraph 1.11 and Section D.2 of Chapter I.

7.14. The benefit test cannot be applied when the accurate delineation indicates that no controlled transaction has occurred because no activity was performed by a group member.

[1] The chapter does not address, except incidentally, whether services have been provided in a cost contribution arrangement, nor, in such a case, the appropriate arm's length pricing. Cost contribution arrangements are the subject of Chapter VIII.

See paragraph 7.6. Another example is when a synergy arises without deliberate concerted action. See Section D.8 of Chapter I.

B.1.2. Considerations on the concept of benefit

7.15. The nature of intra-group services may vary considerably among MNE groups, and so does the extent to which those services provide a benefit, or an expected benefit, to one or more group members.[2] Each case is dependent upon its own facts and circumstances, including other arrangements within the group, and it is not possible to set forth categorically the activities that constitute intra-group services. However, in determining whether an activity meets the benefit test, the following considerations are relevant:

a) A benefit refers to any economic or commercial value derived from the activity performed by another member of the group for one or more associated enterprises. A benefit can include, for example, an expected increase in the recipient's profitability by enhancing, assisting or increasing its revenues, profit making or the quality of its products, or an expected reduction in the recipient's expenses or losses, or an improvement of its operations, for example, by enhancing efficiency or optimizing resource allocation.

b) The benefit may be obtained during or after the period in which the activity took place.

c) The benefit should be identified and reasonably expected at the time of the transaction, and it should be sufficiently direct to be comparable to that for which an independent entity in comparable circumstances would be willing to pay.

d) The benefit should be both factually possible and reasonably expected from the outset, although this does not mean that it is necessarily guaranteed when the activity is performed. Thus, a service is considered to be provided if, at the time the activity is performed, the recipient reasonably expects deriving a benefit, even if it is not eventually realized as expected.

7.16. Where the activities do not deliver the benefit as expected, an evaluation of multiple year data may be valuable in understanding whether the benefit was, in fact, reasonably expected at the time the activity was performed. In addition, such information may be valuable in determining whether the ongoing activity consistently fails to deliver a benefit as expected, and if so, to assess whether independent parties would be willing to continue to pay for such activities. Taxpayers should be prepared to provide reliable contemporaneous information to support that the benefit test has been fulfilled even if the benefit has not been realized as expected. See Section D and Annex I, Example 1 and Example 2.

7.17. For instance, assume Company A develops an enterprise resource planning (ERP) solution to standardise the group's supply chain, finance and inventory management systems, and improve data visibility. The new ERP system is rolled out to all subsidiaries, including Company B, and it is intended to replace the old local system. Company B assigns personnel with the expertise and skills required to implement the system. However, Company B does not implement the ERP solution within the planned timeframe due to key personnel leaving during the rollout phase. Company B's inability to fully deploy the ERP system within the expected timeframe does not negate the existence of a benefit because

[2] Subsequent references in this chapter to "benefit" means "actual or expected benefit" unless the guidance explicitly refers to "actual benefit" or "expected benefit".

the decision to include Company B in the ERP rollout was based on a reasonable expectation that it would receive a benefit at the time the arrangement was entered into.

7.18. The fact that an associated enterprise performs an activity for another group entity that realises losses in the relevant years under examination does not provide grounds to conclude that no intra-group service has been rendered. See Annex I, Example 1, and Section D.3 of Chapter I.

B.1.3. The benefit test and the arm's length remuneration for intra-group services

7.19. The benefit test and the determination of the arm's length remuneration for the intra-group services are separate analyses and should not be conflated, as the benefit test is not concerned with the amount that group members would be willing to pay. Therefore, the existence of an activity that has met the benefit test under the guidance in this chapter should not be ignored solely on the grounds that the intra-group charge for that activity is not arm's length. Whether the remuneration is arm's length should be addressed separately by applying the guidance in Chapters II and III, as well as the guidance contained in Section C.

7.20. For example, assume Parent Co, located in Country A, performs certain IT support services for the benefit of its affiliate, Company B, located in Country B, even though Company B could have performed these activities in-house or acquired them from local independent providers at lower cost. The accurate delineation of the actual transaction indicates that the activities performed by Parent Co provide a benefit to Company B because Company B would have been willing to pay for the activities if it were an independent enterprise in comparable circumstances. The analysis of whether an activity meets the benefit test does not depend on whether the cost incurred by the MNE performing the activity is greater or less than the cost of acquiring the service from an independent service provider nor whether the recipient had the resources and capacity to perform (and could have performed) the activity itself at a lower cost, but rather on whether the activity provides the service recipient MNE with economic or commercial value to enhance or maintain its business position. The assessment of an arm's length charge for the service is a separate issue. See Section C.2.1 and Annex I, Example 3.

B.1.4. The benefit test where activities are performed for one or several members of the group

7.21. Some intra-group services are performed to meet an identified need of one or more specific members of the group. In such a case, it is relatively straightforward to determine whether a service has been provided. For example, an intra-group service would normally be found where an associated enterprise repairs equipment used in manufacturing by another member of the MNE group because, ordinarily, an independent enterprise in comparable circumstances would perform the activity in-house or have the activity performed by an independent party.

7.22. Where an activity is performed for the benefit of multiple entities within the group, the benefit test should be applied at the level of each entity for which the activity is performed. For instance, assume an MNE group is engaged in the skincare industry and centralizes all advanced market research for the group in Company A, located in Country A. The MNE group's main markets are Countries B and C, where it has manufacturing and distribution entities. For these markets, Company A identifies which age group is most likely to purchase anti-aging creams, tests advertising materials with focus groups, analyses trends and customer preferences, and evaluates which are the influencers that consumers trust most when seeking skincare advice. Company A charges group entities in Countries

B and C a service fee for the market research activities performed. The accurate delineation of the transaction shows that the activities performed by Company A provide a benefit to the group's distribution entities in Countries B and C by enabling them to target their marketing activities towards the relevant consumer segment. In contrast, the manufacturing entities in those countries perform no activities other than manufacturing and are not expected to implement any changes to their production activities or pricing as a result of Company A's market research. Accordingly, only the distribution entities in countries B and C are considered to receive a benefit from Company A's activities as those are activities for which an independent enterprise would have been willing to pay or would have performed for itself. Under these facts, there are no controlled marketing services transactions between Company A and the manufacturing entities in Countries B and C.

B.2 Application of the benefit test

7.23. This section illustrates the application of the benefit test to particular scenarios. When applying the benefit test, the potential relevance of these individual scenarios is not mutually exclusive. Similarly, it is not necessary to categorise an activity in any particular manner (i.e. by reference to these particular scenarios) to conclude whether the benefit test has been met. For instance, the mere fact that an activity is not properly categorised as a shareholder activity or duplicative activity, or as providing an incidental benefit, does not imply that such activity provides a benefit. Fact patterns involving shareholder activities, duplicative activities, or incidental benefits are just examples of situations where the benefit test is not satisfied. Thus, for example, in a case where a subsidiary performs activities that benefit only itself, the benefit test is not satisfied even though such activities may have no connection to shareholder activities, duplicative activities, or incidental benefits. The primary objective is to determine whether, in the circumstances of the case, the activity in question confers a benefit within the meaning in paragraph 7.13.

B.2.1 Shareholder activities

B.2.1.1. Definition of shareholder activities

7.24. Shareholder activities are those performed by an MNE in its capacity as a shareholder (usually the parent company or a regional holding company) solely because of its ownership interest in one or more associated enterprises, and that only benefit that shareholder, i.e. they do not provide a benefit to another group member within the meaning described in paragraph 7.13. Given that these activities do not meet the benefit test, they would not be intra-group services, and thus would not justify a charge to other group members.

7.25. "Shareholder activities" should be distinguished from the broader term "stewardship activities" which generally refer to a wide range of activities performed by shareholders and which include the provision of services to other group members, for example services that would be provided by a coordinating centre. These types of services could include detailed planning services for particular operations, emergency management or technical advice (trouble shooting), or in some cases assistance in day-to-day management.

B.2.1.2. Examples of shareholder activities

7.26. The following are examples of activities that commonly will not meet the standard set forth in paragraph 7.13 and will be considered shareholder activities when performed in the capacity of a shareholder:

a) Activities relating to the parent company's juridical structure, such as shareholder meetings, issuing shares, stock exchange listing or costs of the supervisory board.

b) Activities relating to reporting requirements (including financial reporting and audit) of the parent company including the consolidation of reports, the parent company's audit activities of the subsidiary's accounts carried out exclusively in the interest of the parent company, and the preparation of consolidated financial statements (however, in practice costs associated to these activities incurred locally by the subsidiaries may not need to be passed on to the parent or holding company where it is disproportionately onerous to identify and isolate those costs).

c) Activities relating to raising funds for the acquisition of equity interest and to the parent company's investor relations such as communication strategy with shareholders, financial analysts, funds and other stakeholders in the parent company. In contrast, for example, if a parent company raises funds on behalf of another group member which uses them to acquire a new company, the parent company would generally be regarded as providing a service to that group member.

d) Activities relating to compliance of the parent company with the tax laws applicable to it.

e) Ancillary activities to the corporate governance of the MNE as a whole.

Box 1. Questions to public commentators

Commentators' views are invited on:

1. The understanding and practical application of existing guidance in paragraph 7.10 of the OECD 2022 Transfer Pricing Guidelines.
2. Whether, based on your experience, there are other activities that would commonly meet the definition in paragraph 7.9 of the OECD 2022 Transfer Pricing Guidelines that are not reflected in paragraph 7.10 of the OECD 2022 Transfer Pricing Guidelines.
3. The activities that, based on your experience, could be captured by item (e) which refers to "ancillary activities to the corporate governance of the MNE as a whole".

7.27. The mere fact that an activity is undertaken by personnel of the parent entity (including senior management such as the Chief Executive Officer), or that it is difficult to quantify the charge for the benefit received by entities other than the parent entity, does not mean that the activity is a shareholder activity or that the service charge should be denied. Equally, not every activity performed by the personnel of the parent entity or by members of its board of directors constitutes a service to some or all of the entities of the MNE group. The functional and factual analysis of the specific activities performed by the personnel of the parent company will inform the assessment of whether a service has been rendered. See Annex I, Example 5-8.

B.2.1.3. Costs associated with shareholder activities

7.28. Shareholder activities can be performed by the shareholder or by another associated enterprise on its behalf. The costs associated with these activities should be borne and allocated at the level of the relevant shareholder, which, depending on the facts and circumstances, may be the ultimate parent entity or a lower-tier entity (e.g. regional holding company) holding ownership over other entities of the MNE Group. For instance, assume Parent Co, located in Country X, is the ultimate parent entity of an MNE group. Company A, in Country A, is a subsidiary of Parent Co, which owns all the group entities in a region. Company A is legally required to file quarterly and annual reports and prepare consolidated financial statements that include the financial information of the subsidiaries under its control. Although Parent Co is the ultimate shareholder of the MNE Group, the activities are performed solely because of the ownership interest of Company A in other group members and only benefit Company A. Consequently, Company A should bear these costs related to its shareholder activities.

B.2.1.4. Activities performed by a shareholder that satisfy the benefit test

7.29. The parent company of an MNE group may also perform activities related to the management, coordination and protection of its investments, which may include decision-making activities in relation to the business and operation of some or all members of the MNE group. Where these activities are performed by a shareholder other than solely because of its ownership interest in other group members, the activities should be regarded as an intra-group service if they satisfy the benefit test with respect to those other group members, considering the facts and circumstances of the case, i.e. if the activities provide a benefit to other members of the group for which independent enterprises, in comparable circumstances, would have been willing to pay or perform for itself.

7.30. Activities performed by a shareholder for itself and for other group members will be regarded as intra-group services if they satisfy the benefit test. For example, assume Company A is the parent of an MNE group that manufactures and sells electronic products. Company A has recently implemented new business procedures that require updating the MNE group's capacity building activities for employees. Historically, each entity of the MNE group had been responsible for its own capacity and knowledge-building activities. Given the operational and business changes introduced, Company A implements a group-wide training programme that will benefit group entities by delivering consistent, timely and high-quality training. These are activities that group entities would otherwise have to perform for themselves or pay an independent enterprise to perform for them. The training programmes and materials are developed by Company A and are delivered to all group entities, including employees of Company A. This results in a provision of intra-group services by Company A to the MNE group's subsidiaries. The fact that Company A, as the shareholder, also obtains an economic or commercial value from these activities does not mean that they are shareholder activities and does not change the fact that they provide group entities with economic and commercial value to enhance and maintain their business position. Therefore, the activities satisfy the benefit test for the group entities.

7.31. As in any case in which one group member provides services to other group members while also performing similar activities for its own benefit, it will be important to ensure that the portion of the costs incurred by Company A in providing these services that correspond to the benefit that Company A obtains as a user is not inappropriately charged out to other group entities – for example, through the use of charging methods that apportion such costs among the service recipients and Company A on an appropriate basis.

B.2.2 Duplication

7.32. In general, no intra-group service exists if an activity undertaken by one group member merely duplicates an activity that another group member is performing for itself, or duplicates a service that is being performed for such other group member by another associated enterprise or a third party.[3] See paragraph 7.3. An exception could be a temporary duplication of services, for example, during an MNE group's management reorganisation. Another exception could be where the duplication may be undertaken to reduce the risk of making a wrong business decision (e.g. by getting a second legal opinion on a subject). Further, some types of regulations require certain functions to be performed locally as well as on a consolidated basis by the parent (e.g. compliance and risk management); such requirements should not lead to disallowance on grounds of duplication. Therefore, in some contexts, what may appear to be duplication is, in fact, an intentional redundancy that may provide a benefit to the recipient.

7.33. The determination of whether a service is merely duplicative should be made on a case-by-case basis. The analysis should focus on specific aspects such as the nature, goals, scope, customisation, duration of the activity and, when relevant, the reasons for apparent duplication. It may be determined that the intra-group services are different than, or additional, or complementary to, the activities performed in-house or by another party. For example, the fact that an MNE performs marketing services in-house and also is charged for marketing services from a group company does not of itself determine duplication, since marketing is a broad term potentially covering different activities in that case. See Annex I, Example 9.

7.34. The assessment of whether a service is duplicated must be distinguished from the question of whether costs incurred by an entity in rendering a service are charged out more than once. See Section C.1.2.

B.2.3 Incidental benefits

7.35. Sometimes, one member of the group performs an activity that provides a direct benefit to itself or for certain group members and incidentally benefits other group members. A benefit is incidental when, at the time the activity is performed, the potential benefit is indirect or remote such that an independent enterprise would not be willing to pay for it and would not be willing to perform a comparable activity for itself. Incidental benefits would not cause these other group members to be treated as receiving an intra-group service because the activities producing the benefits would not be ones for which an independent enterprise would be willing to pay. The determination of whether a benefit is incidental is based on the nature of the activity and the situation of the recipient, taking into consideration all facts and circumstances. Examples could be the incidental benefits obtained by certain members of the group when there is a reorganisation of the MNE group, the acquisition of new members or the termination of a division. These activities could constitute intra-group services to the group members directly involved, for example those members who make the acquisition or terminate one of their divisions, but they may also incidentally benefit other group members not directly involved in the decision. See Annex I, Examples 7 and 8.

7.36. An associated enterprise may also obtain incidental benefits that are attributable solely to it being part of an MNE group, i.e. to passive association, and not to any specific activity being performed. In such cases where no activity has been performed by a group member in the first place, the benefit test logically cannot be satisfied. See paragraph 7.14.

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[3] Where a group member receives purported services from multiple group members that are identified as duplicative of each other, only one of those purported services could be considered to meet the benefit test, and therefore constitute a service.

In this respect, passive association should be distinguished from the active promotion of the MNE group's attributes that positively enhances (or negatively impacts) the profit-making potential of particular members of the group. See Section D.8 of Chapter I on MNE group synergies and Section D of Chapter X. See Annex I, Example 10.

B.2.4. On call services

7.37. "On call" intra-group services are those which are available at any time for the members of an MNE group. The question is whether the availability of such services is itself a separate service for which an arm's length charge should be determined in addition to (or in place of) any charge for the services actually rendered. For example, a member of an MNE group may be on hand to provide services such as financial, consulting, technical, legal or tax advice and assistance to members of the group at any time. In that case, a service may be rendered to associated enterprises by having staff or equipment available to the extent that it would be reasonable to expect an independent enterprise in comparable circumstances to incur "standby" charges to ensure the availability of the services when the need for them arises. In delineating arrangements for charging any retainer for the provision of "on call" services, it may be necessary to examine the terms for the actual use of the services since these may include provisions that no charge is made for actual use until the level of usage exceeds a predetermined level. For example, an independent enterprise may pay an annual retainer fee to a firm of lawyers to ensure entitlement to legal advice and representation if litigation is brought. Another example is a service contract for priority computer network repair in the event of a breakdown. It would be unlikely for an independent enterprise to incur stand-by charges for an on-call service if the potential need for the service was remote, the benefit was negligible, or the service could be obtained promptly and readily without the need for a stand-by arrangement.

7.38. Services "on call" may vary in the extent to which they provide benefits from year to year. Thus, the benefit conferred on an MNE by the "on-call" arrangements could be considered by looking at the extent to which the services have been used over a period of several years rather than solely for the year in which a charge is to be made.

B.3 Provision of services in connection with other transactions

7.39. The accurate delineation of the transaction may determine that the commercial or financial relations between the associated enterprises involve the provision of more than one type of intra-group services. Furthermore, intra-group services are sometimes linked to other related party transactions such as transferring goods or intangibles (or the licensing thereof). As each of these controlled transactions may require different forms and levels of arm's length remuneration, an important issue is whether the service transaction that is connected to other transactions can be evaluated adequately on a separate basis. An example could be the administration and enforcement of intangible property rights, which should be distinguished from other important activities related to the development, enhancement, maintenance, protection or exploitation of those intangibles. The protection of a licence might be handled by a group service centre responsible for monitoring possible licence infringements and for enforcing licence rights. Similarly, ancillary services are frequently associated with the transfer of technology, such as training, installation, support, post-installation optimization advice or regular updates and technical documentation. In such situations, it is necessary to consider the principles for aggregation and segregation of transactions in Chapter III to improve the reliability of the analysis where a mixed transfer of services and property is involved. See paragraphs 3.9 to 3.12 and 3.37 of Chapter III, and Chapter VI.

7.40. For instance, assume Company A manufactures and distributes machinery to associated enterprises. In addition, it offers a series of services in connection with the machinery which includes annual visits, maintenance and training for the installation and operation of the machinery. The price for these services is bundled with the price of the machinery. Depending on the facts and circumstances, it may be appropriate to evaluate the transfer of the goods separately from the provision of services. The fact that the transactions are presented as a package does not prevent the disaggregation of transactions if the transaction-by-transaction analysis constitutes the most reliable approach to determine the arm's length remuneration for the provision of services and the transfer of the machinery. See paragraphs 3.11 of Chapter III.

7.41. In other cases, it may be difficult to distinguish between the transfer of intangibles or rights in intangibles and the provision of services. For example, assume MNE Group X acquires MNE Group Y. Following the acquisition, Parent Co, the parent company of MNE Group X, provides strategic advice and information to the new subsidiaries using its proprietary know-how, frameworks and methodologies such as unique market entry models, risk assessment tools or pricing frameworks. As a consequence, the new subsidiaries may gain the ability to independently apply and adapt Parent Co's know-how, effectively resulting in a transfer of know-how to the new subsidiaries. See Annex I, Example 16.

C. Determining the arm's length charge and other conditions of intra-group services

C.1. Direct-charge and indirect-charge approaches

7.42. MNE groups use different approaches that seek to reflect arm's length conditions when charging for intra-group services. These can be either determining the charges for the individual group members directly for specific services (direct-charge approach) or indirectly using cost allocation and apportionment methods (indirect-charge approach), or both. Determining whether a direct-charge or an indirect-charge approach is applied will depend on the relevant facts and circumstances.

C.1.1. Direct-charge approaches

7.43. Where associated enterprises are charged directly for specific services, the charging arrangements for intra-group services should be readily identified. In general, the direct-charge approach benefits both taxpayers and administrations because it clearly identifies the provision of the service and the basis for the payment and, thus, it facilitates the determination of whether the charge is consistent with the arm's length principle.

7.44. Direct charging arrangements are appropriate where the service is rendered to a specific group member and the information needed to determine a separate basis for the charge (e.g. by recording the work done, the costs, time expended by personnel and related resources in performing intra-group services) is available to the service provider without incurring disproportionate compliance costs. However, this approach may not always be possible. For example, consider an affiliate, Company A, that provides IT services to another affiliate in its region. Company A's services include individual affiliate-specific services to design, install, and make major upgrades to full IT systems. The timing of these projects and resources employed varies according to each affiliate's needs. In such cases, individualized data and information specific to costs, time and resources related to each project, should be used as a basis for applying a direct charge approach specific to each individual recipient. Conversely, Company A often implements region-wide IT services to the affiliate recipients based on a centralized pool of relevant costs (e.g., new software and cloud server upgrades applying to all affiliated recipients, and related support general to such centralized IT systems). In this case, an indirect charge approach could be applied to the centralized IT cost pool using an appropriate allocation key consistent with arm's length conditions.

7.45. C.1.2. Indirect-charge approaches Direct-charge approaches can be difficult to apply in practice, particularly where services are rendered to multiple associated enterprises. As a result, MNE groups may use cost allocation and apportionment methods which often necessitate some degree of estimation or approximation as a basis for calculating arm's length charges following the principles in Section C.2. Such methods are generally referred to as indirect-charge approaches and should be allowable provided sufficient regard has been given to the nature of the service and to the relative benefits provided to the service recipients.

7.46. Indirect-charge approaches may be necessary due to the nature of the service being provided and the difficulty of reliably applying a direct-charge approach. One example is where the proportion of the value of the services rendered to the relevant entities can only be approximated. This problem may occur, for example, where sales promotion activities carried on centrally (e.g. through social media, in the international press, or through other centralised advertising campaigns) may affect the quantity of goods manufactured or sold by several affiliates. Another case is where a separate recording and analysis of the relevant services for each beneficiary would involve an administrative burden disproportionate to the activities themselves. In such cases, the charge could be determined by allocating among all potential beneficiaries the costs that cannot be allocated directly, i.e. costs that cannot be specifically assigned to the actual beneficiaries of the various services. The allocation method chosen must lead to a result that is consistent with what comparable independent enterprises would have been prepared to accept.

7.47. Any indirect charge has to reflect an identifiable reasonably expected benefit; be sensitive to the case's commercial features (e.g. the allocation key is reasonable under the circumstances); contain safeguards against manipulation; follow sound accounting principles; and produce charges or costs allocations proportionate with the recipient's benefits.

7.48. The determination of an allocation key should be based on an appropriate measure of the usage and the expected benefit of the service. MNEs should use allocation keys that are measurable, relevant to the type of service, easy to verify and, where possible, readily available. The basis of allocation must be practical enough to be administrable yet also sufficiently accurate to avoid significant disparities between the expected benefits and the intra-group charges. For example, assume a case in which marketing services are provided by a regional marketing centre where one service recipient is in a new market and all other service recipients are in mature markets. An allocation key based on actual sales accrued in the year that the marketing services were performed may be inappropriate, whereas one based on the share of time spent on each market may more closely align with the expected benefit of the service being provided to the recipients.

7.49. Indirect-charge approaches can obscure the link between the charge and the service costs, and the expected benefit may become difficult to evaluate. This increases the risk of double taxation because it may be more difficult to justify a deduction for costs incurred on behalf of group members if compensation cannot be readily identified, or for the recipient of the service to deduct any amount paid if it is unable to demonstrate that the service has been provided.

7.50. Indirect-charge approaches must be applied consistently. For example, when using a cost-based method based on costs incurred and an allocation key, the total allocated costs should not be different than the total costs incurred by the group in providing the specific service[4]. MNEs should be able to document this circumstance. See Section D. The use of multiple allocation keys with respect to a single cost base could be permissible, provided that such allocation keys do not result in inconsistent treatment, such as double-counting or under-counting of costs.

7.51. Moreover, choosing an allocation key is a matter of judgment and some allocation keys may be suitable for more than one type of service. The selected allocation keys should be applied consistently to all recipients of a particular service or category of services.

Questions to public commentators

Paragraph 7.59 of the OECD 2022 Transfer Pricing Guidelines provides examples of allocation keys in the context of low value-adding services:

> *7.59. By way of examples, the allocation key for services related to people might employ each company's share of total group headcount, IT services might employ the share of total users, fleet management services might employ the share of total vehicles, accounting support services might employ the share of total relevant transactions or the share of total assets. In many cases, the share of total turnover may be a relevant key.*

Comments are invited on:

1. Would it be useful to provide further guidance on the application of allocation keys for certain intra-group services?
2. What are the allocation keys appropriately applied in practice to specific intra-group services?

C.2 Guidance on the application of the transfer pricing methods to transactions involving intra-group services

C.2.1. Selection of the most appropriate transfer pricing method

7.52. The most appropriate transfer pricing method should be determined according to the guidance in Chapters I-III. It should not be assumed that a particular transfer pricing method such as a cost-based method (cost plus method or cost-based transactional net margin method) is always preferred for intra-group services. In selecting the most appropriate transfer pricing method, it is important to consider the economically relevant characteristics of the intra-group service (e.g. the use of any unique or valuable intangibles and the risk profiles of the relevant entities) rather than the label assigned to the services.

7.53. Determining the arm's length price for intra-group services should consider both the provider's and the recipient's perspectives, including their options realistically available, and how much an independent enterprise would be prepared to pay for that service in comparable circumstances, and the provider's costs. For example, if there is an option realistically available to the service recipient to obtain a comparable service from an independent third-party, then this option could be considered in determining the arm's

[4] This sentence does not deal with the separate consideration of whether a mark-up on the costs is appropriate.

length price of the intra-group service. Furthermore, the degree of comparability, , between the services actually performed and the potential comparables identified, including any material differences, should also be taken into consideration. See paragraph 7.3.

C.2.2. Application of the CUP method

7.54. The CUP method is likely to be the most appropriate method where there is a comparable service provided between independent enterprises in the recipient's market or provided by the associated enterprise to independent parties in comparable circumstances.

7.55. As per paragraph 1.128 of Chapter I, the requirement for comparability of services is the strictest for the CUP method because any material difference in the service provided can affect its price (although appropriate adjustments may be able to compensate for such differences). This is particularly relevant when certain quality or type of services is required. For instance, there may be independent parties providing services in the local market (potentially at a lower cost) that share some similarities with the services being provided by the associated enterprises. However, the nature, volume or type of services provided may be different to the services provided by the associated enterprises. In this scenario, due to the comparability defects and in the absence of reliable comparability adjustments to eliminate the effects of such differences, the CUP method would be unable to be applied, and another transfer pricing method should be used to price the particular intra-group service. See Annex I, Examples 11 and 12.

C.2.3. Application of cost-plus method and transactional net margin method

7.56. Where a cost-based method is determined to be the most appropriate method, the analysis would require examining whether the costs incurred by the group service provider need some adjustment to make the comparison of the controlled and uncontrolled transactions reliable. In this case, reliable documentation should be retained by the service provider. See Section D.

7.57. Moreover, it is important that the cost base is not materially distorted by controlled transaction costs (such as head office charges, rental and equipment fees or royalties paid to an associated enterprise). Caution should be exercised to ensure that these controlled costs are in accordance with the arm's length principle and do not distort the analysis. See paragraph 2.94 of Chapter II.

7.58. In the context of intra-group services, the following concepts are relevant:[5,6]

- Direct costs, which may include, but are not limited to, costs for employee compensation, such as salary, bonuses, stock-based compensation, travel expenses attributable to employees directly engaged in performing such services, and material and supplies directly consumed in rendering such services.
- Indirect costs, which may be used for the provision of multiple services and, therefore, may need to be allocated among several different services. Indirect costs may include, but are not limited to, light and power, depreciation, rent, other occupancy costs, rates and property taxes, insurance, general repairs, internet and communication, back-office functions such as accounting, payroll, and finance, and other applicable general and administrative expenses.

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[5] See Glossary, also for a definition of direct and indirect costs.

[6] See paragraphs 2.101 and 2.102 of Chapter II on the use of actual costs, standard or budgeted costs.

- Operating expenses of the enterprise as a whole such as supervisory and general administrative expenses. See paragraphs 2.53 and 2.99 of Chapter II.

Questions for commentators

Commentators are invited to provide their views on the relevant considerations regarding the treatment of stock or share based compensations in the context of intra-group services. Specifically, we seek commentators' views on:

1. Do you encounter challenges associated with the appropriate treatment of stock or share based compensation in relation to intra-group services? If so, please describe these challenges and whether they include timing, accounting treatment and valuation of stock or share based compensation?
2. How do you address stock-based compensation as part of your transfer pricing analysis?
3. Do you think additional guidance in relation to stock or share-based compensation would be beneficial for intra-group services?

C.2.3.1. Application of the cost-plus method

7.59. The cost-plus method can be applied where the mark-up applied to the service provider can be established by reference to comparable uncontrolled transactions. It focuses on the gross profit mark-up (as opposed to a net profit) on the relevant provider's costs. See paragraph 2.54 of Chapter II.

7.60. The cost-plus method allows greater tolerance for differences than the CUP method, and it may be appropriate to give additional weight to the other comparability factors which may have a more significant effect on the cost-plus mark-up.

C.2.3.2. Application of the transactional net margin method

7.61. The transactional net margin method can be applied by identifying the net profit margins earned in comparable uncontrolled transactions. Because the transactional net margin method is applied on a net profit basis rather than on a gross profit basis, it has greater tolerance for accounting inconsistencies that may arise when comparing cost bases between controlled and comparable transactions relative to gross profit-based methods.

7.62. The selection of the most appropriate net profit indicator to apply the transactional net margin method for the provision of intra-groups services should follow the guidance in paragraphs 2.82 to 2.105 of Chapter II. Where cost-based ratios are found to be the most appropriate net profit indicator as a relevant measure of the functions, assets, and risks of the tested party, the cost base would often be the fully loaded costs for providing the service. See paragraph 2.99 of Chapter II.

C.2.3.3 Pass-through costs

7.63. The appropriate treatment of a cost under a transfer pricing method as either recharged at cost without a markup (i.e. a pass-through cost) or recharged with a mark-up in addition to the cost is determined on a case-by-case basis. As outlined in paragraph 2.99

of Chapter II, the over-arching principle in making such determinations is to observe their treatment in comparable arm's length circumstances.

7.64. It is often difficult to determine whether costs are marked up at arm's length based on the financial data of independent enterprises in comparable circumstances. Thus, it may be necessary to consider other information, such as industry norms and practices, or company specific transactional data with external parties, which may indicate certain types of costs are typically pass-through costs. If the information shows that independent parties do not apply a mark-up to certain costs in comparable circumstances, then similar costs should not be marked up in computing the tested party's compensation. However, it will still be necessary for those costs to be recharged to the recipient as pass-through costs to which no mark-up is attributed. For example, it is appropriate to recharge costs without a mark-up where the provider is merely acting as a paying entity, and the recipient would have incurred the costs directly. Conversely, where the service provider contributes value and is not merely acting as the paying entity, a mark-up on the service provider's costs associated with such contribution may be appropriate in line with the arm's length principle. See Annex I, Example 20.

7.65. When an associated enterprise is acting only as an agent or intermediary in the provision of services, the mark-up should be appropriate to its performance of the agency function itself and therefore, be applied on the agency related costs rather than based on the costs of the services (or of the activities that it arranges for others to perform but does not itself perform). For example, an associated enterprise may incur the costs of renting advertising space on behalf of group members, costs that the group members would have incurred directly had they been independent. Even in the situation that the associated enterprise is conducting marketing activities for the same group members (e.g. content creation for the local market in line with the global strategy or market research) a mark-up on the costs of renting advertising space may not be appropriate subject to the relevant facts and circumstances. In such a case, it may be appropriate to pass on the renting advertising space costs to the group recipients without a mark-up, and to apply a mark-up only to the costs incurred by the intermediary in performing its agency function.

C.2.4. Application of the transactional profit split method

7.66. The provision of intra-group services varies along a spectrum ranging from low value-adding services (see Section E) to services which may entail a greater level of complexity or integration, and which may result in the creation or transfer of an intangible, or that may involve the assumption of economically significant risks.

7.67. In pricing intra-group services along that spectrum, the transactional profit split method can be applied where both parties to a transaction make unique and valuable contributions, their operations in relation to that transaction are highly integrated or there is a shared assumption of economically significant risks or a separate assumption of closely related economically significant risks. The method could be relevant where the services are provided in combination with other transactions such as services that result in the creation or transfer of an intangible or combining services with other types of transactions such as tangible goods or software. See Annex I, Examples 13,15, and 17 , and also Examples 5, 6 and 7 of Annex II to Chapter II.

C.2.5. Consideration on including a profit element

7.68. It need not always be the case that an arm's length price will result in a profit for an associated enterprise that is performing an intra-group service. An independent enterprise would normally seek to charge for services to generate profit, rather than providing the services merely at cost. However, there are circumstances (e.g. as outlined in the discussion on business strategies in Chapter I) in which an independent enterprise may not realise a profit from the performance of services alone, for example where a supplier's costs (anticipated or actual) exceed market price, but the supplier agrees to provide the service to increase its profitability, perhaps by complementing its range of activities.

7.69. For example, the arm's length price of intra-group services may be less than the costs incurred by the service provider where the service is not an ordinary or recurrent activity of the service provider but is offered incidentally as a convenience to the MNE group. In determining whether the intra-group services represent the same value for money as could be obtained from an independent enterprise, a comparison of activities and expected benefits would be relevant. An MNE group may still provide the service intra-group rather than using an independent party for a variety of reasons, perhaps because of other intra-group benefits (for which arm's length compensation may be appropriate) such as ensuring a consistent service is applied within the group and to maintain control over that function. For example, it may be cheaper for an MNE group to outsource their sales and marketing functions to an independent third-party, however, it may decide to provide that service centrally to ensure that it maintains full control over the group's selling and marketing operations. It would not be appropriate in such a case to increase the price for the service above what would be established by the application of the most appropriate transfer pricing method to ensure the service provider makes a profit. It is important to ensure that all benefits to the recipient are properly taken into account, including the benefits in this case of consistency and maintaining control over selling and marketing operations, which may constitute a material difference as compared with services that could be obtained from an independent enterprise.

7.70. While, as a matter of principle, tax administrations and taxpayers should try to establish the proper arm's length pricing, there may be practical reasons why a tax administration in its discretion exceptionally might be willing to forgo computing and taxing an arm's length price from the performance of services. This is distinct from allowing a taxpayer in appropriate circumstances to merely allocate the costs of providing those services. For instance, a cost-benefit analysis might indicate the additional tax revenue that would be collected does not justify the costs and administrative burdens of determining what an appropriate arm's length price might be in some cases. In such cases, charging all relevant costs rather than an arm's length price may provide a satisfactory result for MNEs and tax administrations. This concession is unlikely to be made by tax administrations where the provision of a service is the principal activity of the associated enterprise, where the mark-up is relatively significant, or where direct charging is possible as a basis from which to determine the arm's length price.

D. Documentation

7.71. The recommendations in this section supplement the guidance in Chapter V specifically for intra-group services. These do not establish a mandatory minimum checklist of required information or a documentation standard. The level and detail of documentation required to demonstrate that the conditions of an intra-group service transaction are consistent with the arm's length principle should consider the facts and circumstances and be proportionate with the materiality and nature of the services provided. See paragraph 5.9 of Chapter V, paragraph 7.4, and Annex I, Example 21.

7.72. In addition to the information listed in Annex II to Chapter V, contemporaneous evidence can be useful and relevant to demonstrate that the benefit test has been met, such as:

- An explanation of the expected benefit resulting from the activities performed.
- Where the expected benefit does not materialize over a reasonable period, an explanation of the underlying reasons could include the review undertaken by the parties and the resulting commercial decision, which may involve adjusting the service arrangement or discontinuing the charge.
- Communications, e.g. between provider and service recipient, relating to the decision on the scope, provision and uptake of the service (e.g. minutes from relevant meetings, email correspondence between entities involved, internal approval documents).
- Technical documentation or service agreement describing the nature, scope of the service rendered and implementation schedule (e.g. intra-group services agreement, meeting materials, project materials and presentations).
- Deliverables or output from the activities such as a report, document, advice, memo, sample of the IT tickets, etc., to the extent that the activity resulted in a distinct deliverable.
- Documentation containing a clear and accurate breakdown of the activities connected to the intra-group service.

7.73. As part of, the information listed in Annex II to Chapter V, the following information can be useful and relevant for pricing intra-group services:

- A description of the process to allocate costs when applying the indirect charge approach. This could include:
    - A justification of the selected allocation keys, and a detailed calculation of how they have been applied e.g. whether budgeted or actual figures have been used.
    - An explanation of any discrepancies between the total costs allocated to the recipients and the total amount of costs incurred by the group in providing the service.
    - Procedures and criteria applied to identify the costs of the services provided and allocation keys used.
- An explanation and calculation of how the cost base was constructed and an identification of direct costs, indirect costs and operating expenses, including whether these are actual costs, budgeted or standard costs, and any relevant samples of source documentation which identifies the quantum of the cost e.g. invoices, timesheets, receipts etc.
- A breakdown of pass-through costs and those marked up.
- Any invoices from external services providers particularly for pass-through costs.

E. Low value-adding intra-group services

7.74. This section provides specific guidance relating to a particular category of intra-group services referred to as low value-adding intra-group services. Section E.1 contains the definition of low value-adding intra-group services. Section E.2 sets out an elective, simplified approach for the determination of arm's length charges for low value-adding intra-group services, including a simplified benefit test. Section E.3 contains guidance on documentation and reporting requirements that should be met by an MNE group electing to apply this simplified approach. Finally, Section E.4 addresses some issues with regard to the levying of withholding taxes on charges for low value-adding intra-group services. In summary, the simplified approach recognises that the arm's length price for low value-adding intra-group services is closely related to costs, allocates the costs of providing each category of such services to those group companies which benefit from using those services, and then applies the same mark-up to all categories of services. MNE groups not electing to apply the simplified approach set out in this section should address transfer pricing issues related to low value-adding services under the provisions of Sections A through D.

E.1. Definition of low value-adding intra-group services

7.75. This section discusses the definitional issues related to low value-adding intra-group services for applying the elective, simplified approach discussed under Section E.2. It starts by indicating the characteristics that services must have in order to qualify as low value-adding intra-group services for applying the elective, simplified approach. It then identifies a series of activities that do not qualify as low value-adding intra-group services for the elective, simplified approach. Finally, it contains a list of examples of services that likely would have the characteristics to qualify as low value-adding intra-groups services for the application of the simplified approach.

7.76. Low value-adding intra-group services for the purposes of the simplified approach are services performed by one member or more than one member of an MNE group on behalf of one or more other group members which:

- are of a supportive nature;
- are not part of the core business of the MNE group (i.e. not creating the profit-earning activities or contributing to economically significant activities of the MNE group);
- do not require the use of unique and valuable intangibles and do not lead to the creation of unique and valuable intangibles; and
- do not involve the assumption or control of substantial or significant risk by the service provider and do not give rise to the creation of significant risk for the service provider.

7.77. The guidance in this section is not applicable to services that would ordinarily qualify as low value-adding intra-group services where such services are rendered to independent customers of the members of the MNE group. In such cases it can be expected that reliable internal comparables exist and can be used for determining the arm's length price for the intra-group services.

7.78. The following activities would not qualify for the simplified approach outlined in this section:

- Services constituting the core business of the MNE group.
- Research and development services (including software development unless falling within the scope of information technology services in 7.80).

- Manufacturing and production services.
- Purchasing activities relating to raw materials or other materials that are used in the manufacturing or production process.
- Sales, marketing and distribution activities.
- Financial transactions.
- Extraction, exploration, or processing of natural resources.
- Insurance and reinsurance.
- Services of corporate senior management (other than management supervision of services that qualify as low value-adding intra-group services under the definition of paragraph 7.76).

7.79. The fact that an activity does not qualify for the simplified approach, as defined under paragraph 7.76, should not be interpreted to mean that that activity generates high returns. The activity could still add low value, and the determination of the arm’s length charge for such activity, if any, should be determined according to the guidance set out in paragraphs 7.1 to 7.73.

7.80. The following bullet points provide examples of services that would likely meet the definition of low value-adding services provided in paragraph 7.76.

- Accounting and auditing, for example gathering and reviewing information for use in financial statements, maintenance of accounting records, preparation of financial statements, preparation or assistance in operational and financial audits, verifying authenticity and reliability of accounting records, and assistance in the preparation of budgets through compilation of data and information gathering.
- Processing and management of accounts receivable and accounts payable, for example compilation of customer or client billing information, and credit control checking and processing.
- Human resources activities, such as:
    - Staffing and recruitment, for example hiring procedures, assistance in evaluation of applicants and selection and appointment of personnel, on-boarding new employees, performance evaluation and assistance in defining careers, assistance in procedures to dismiss personnel, assistance in programmes for redundant personnel.
    - Training and employee development, for example evaluation of training needs, creation of internal training and development programmes, creation of management skills and career development programmes.
    - Remuneration services, for example, providing advice and determining policies for employee compensation and benefits such as healthcare and life insurance, stock option plans, and pension schemes; verification of attendance and timekeeping, payroll services including processing and tax compliance.
    - Developing and monitoring of staff health procedures, safety and environmental standards relating to employment matters.
- Monitoring and compilation of data relating to health, safety, environmental and other standards regulating the business.

- Information technology services where they are not part of the principal activity of the group, for example installing, maintaining and updating IT systems used in the business; information system support (which may include the information system used in connection with accounting, production, client relations, human resources and payroll, and email systems); training on the use or application of information systems as well as on the associated equipment employed to collect, process and present information; developing IT guidelines, providing telecommunications services, organising an IT helpdesk, implementing and maintaining of IT security systems; supporting, maintaining and supervising of IT networks (local area network, wide area network, internet).
- Internal and external communications and public relations support (but excluding specific advertising or marketing activities as well as development of underlying strategies).
- Legal services, for example general legal services performed by in-house legal counsel such as drafting and reviewing contracts, agreements and other legal documents, legal consultation and opinions, representation of the company (judicial litigation, arbitration panels, administrative procedures), legal research and legal as well as administrative work for the registration and protection of intangible property.
- Activities with regard to tax obligations, for example information gathering and preparation of tax returns (income tax, sales tax, VAT, property tax, customs and excise), making tax payments, responding to tax administrations' audits, and giving advice on tax matters.
- General services of an administrative or clerical nature.

7.81. The following examples illustrate an important element of the definition of low value-adding intra-group services, namely, that they should not include services which are part of the MNE's core business. Services that may seem superficially similar in nature (in the example, credit risk analysis) may or may not be low value-adding intra-group services depending on the specific context and circumstances. The examples also illustrate the point that services may not qualify as low value-adding intra-group services because in their specific context they create significant risk or unique and valuable intangibles.

a) Company A, situated in Country A, is a shoe manufacturer and wholesale distributor of shoes in the North-West region. Its wholly-owned subsidiary B, situated in Country B, is a wholesale distributor in the South-East region of the shoes manufactured by A. As part of its operations, A routinely performs a credit risk analysis on its customers on the basis of reports purchased from a credit reporting agency. A performs, on behalf of B, the same credit risk analysis with respect to B's customers, using the same methods and approaches. Under the facts and circumstances, it could be reasonably concluded that the service A performs for B is a low value-adding intra-group service.

b) Company X is a subsidiary of a worldwide investment banking group. Company X performs credit risk analysis with respect to potential counterparties for transactions involving financial derivatives contracts and prepares credit reports for the worldwide investment banking group. The credit analyses performed by Company X are utilised by the group in establishing the prices of financial derivatives for the group's clients. The personnel of Company X have developed special expertise and make use of internally developed confidential credit risk analysis models, algorithms and software. Under the facts and circumstances of this case, it could not be concluded that the service Company X performs for the worldwide investment banking group is a low value-adding intra-group service.

7.82. The definition of low value-adding intra-group services refers to the supportive nature of such services, which are not part of the core business of the MNE group. The provision of low value-adding intra-group services may, in fact, be the principal business activity of the legal entity providing the service, e.g. a shared service centre, provided these services do not relate to the core business of the group. As an example, assume that an MNE is engaged in the development, production, sale and marketing of dairy products worldwide. The group established a shared services company, the only activity of which is to act as a global IT support service centre. From the perspective of the IT support service provider, the rendering of the IT services is the company's principal business activity. However, from the perspective of the service recipients, and from the perspective of the MNE group as a whole, the service is not a core business activity and may therefore qualify as a low value-adding intra-group service.

E.2. Simplified determination of arm's length charges for low value-adding intra-group services

7.83. This subsection sets out the elements of a simplified charge mechanism for low value-adding intra-group services. This simplified method is premised on the proposition that all low value-adding service costs incurred in supporting the business of MNE group members should be allocated to those members. The basic benefits of using the simplified approach include: (1) reducing the compliance effort of meeting the benefit test and in demonstrating arm's length charges; (2) providing greater certainty for MNE groups that the price charged for the qualifying activities will be accepted by the tax administrations that have adopted the simplified approach when the conditions of the simplified approach mentioned in paragraph 7.76 have been met; and (3) providing tax administrations with targeted documentation enabling efficient review of compliance risks. An MNE group electing to adopt this simplified method would as far as practicable apply it on a consistent, group wide basis in all jurisdictions in which it operates.

7.84. Where a tax administration has not adopted the simplified approach, and as a consequence the MNE group complies with the local requirements in that jurisdiction, such compliance would not disqualify the MNE group from the application of the simplified approach to other jurisdictions. In addition, not all MNE groups are vertically integrated and may instead have regional or divisional sub-groups with their own management and support structures. Therefore, MNE groups may elect to adopt the simplified method at the level of a sub-holding company and apply it on a consistent basis across all subsidiaries of that sub-holding company. When the MNE group elects for and applies the simplified approach, charges for low value-adding intra-group services that are or have been determined in conformity with the guidance in this subsection are determined to be in accordance with the arm's length principle. A possible alternative approach for dealing with the issues discussed in this subsection would be the use of cost contribution arrangements, covered in Chapter VIII.

E.2.1. Application of the benefit test to low value-adding intra-group services

7.85. As discussed in paragraph 7.13, under the arm's length principle an obligation to pay for an intra-group service arises only where the benefit test is satisfied, i.e. the activity must provide the group member expected to pay for the service with economic or commercial value to enhance or maintain its commercial position, which in turn is determined by evaluating whether an independent enterprise in comparable circumstances would have been willing to pay for the activity if performed for it by an independent enterprise or would have performed the activity in-house for itself. However, because of the nature of the low value-adding intra-group services discussed in this section, such determinations may be difficult or may require greater effort than the amount of the charge warrants. Tax administrations should therefore generally refrain from reviewing or challenging the benefit test when the simplified approach has been applied under the conditions and circumstances discussed in this section and in particular in conformity with the documentation and reporting discussed in Section E.3.

7.86. While low value-adding intra-group services may provide benefits to all recipients of those services, questions may arise about the extent of the benefits and whether independent parties would have been willing to pay for the service or perform it themselves. Where the MNE group has followed the guidance of the simplified approach the documentation and reporting discussed in Section E.3 below, it should provide sufficient evidence that the benefit test is met given the nature of low value-adding intra-group services. In evaluating the benefit test, tax administrations should consider benefits only by categories of services and not on a specific charge basis. Thus, the taxpayer need only demonstrate that assistance was provided with, for example, payroll processing, rather than being required to specify individual acts undertaken that give rise to the costs charged. Provided such information outlined in paragraph 7.95 is made available to the tax administration, a single annual invoice describing a category of services should suffice to support the charge, and correspondence or other evidence of individual acts should not be required. With regard to low value-adding intra-group services that benefit only one recipient entity in the MNE group, it is expected that the benefits to the service recipient will be capable of separate demonstration.

E.2.2. Determination of cost pools

7.87. The initial step in applying the simplified approach to low value-adding intra-group services is for the MNE group to calculate, on an annual basis, a pool of all costs incurred by all members of the group in performing each category of low value-adding intra-group services. The costs to be pooled are the direct and indirect costs of rendering the service as well as, where relevant, the appropriate part of operating expenses (e.g. supervisory, general and administrative). The costs should be pooled according to category of services, and should identify the accounting cost centres used in creating the pool. Pass-through costs in the cost pool should be identified for the purposes of applying paragraph 7.92. The cost pool should exclude costs that are attributable to an in-house activity that benefits solely the company performing the activity (including shareholder activities performed by the shareholding company).

7.88. As a second step, the MNE group should identify and remove from the pool those costs that are attributable to services performed by one group member solely on behalf of one other group member. In creating a pool of payroll costs, for example, if group company A provides payroll services solely to group company B the relevant costs should be separately identified and omitted from the pool. However, if group company A performs payroll services for itself as well as for company B, the relevant costs should remain within the pool.

7.89. At this stage in the calculation, the MNE group has identified a pool of costs associated with categories of low value-adding services which are provided to multiple members of the MNE group.

E.2.3. Allocation of low value-adding service costs

7.90. The third step in this simplified charge method for low value-adding intra-group service costs is to allocate among members of the group the costs in the cost pool that benefit multiple members of the group. The taxpayer will select one or more allocation keys to apply for this purpose based on the following principles. The appropriate allocation key or keys will depend on the nature of the services. The same allocation key or keys must be used on a consistent basis for all allocations of costs relating to the same category of services. In accordance with the guidance in paragraph 7.46, the allocation key or keys selected with respect to costs for each relevant category of services should reasonably reflect the level of benefit expected to be received by each recipient of the particular service. As a general rule, the allocation key or keys should reflect the underlying need for the particular services. By way of examples, the allocation key for services related to people might employ each company's share of total group headcount, IT services might employ the share of total users, fleet management services might employ the share of total vehicles, accounting support services might employ the share of total relevant transactions or the share of total assets. In many cases, the share of total turnover may be a relevant key.

7.91. The examples of allocation keys provided in the previous paragraph are not intended to be an exhaustive list. Depending on the facts and circumstances more sophisticated allocation keys might be used. However, a balance should be struck between theoretical sophistication and practical administration, bearing in mind that the costs involved are not generating high value for the group. In this context, there may be no need to use multiple allocation keys if the taxpayer can explain the reasons for concluding that a single key provides a reasonable reflection of the respective benefits. For reasons of consistency, the same allocation key or keys should be applied in determining the allocation to all recipients within the group of the same type of low value-adding intra-group services, and it is expected that the same reasonable key will be used from year to year unless there is a justified reason to change. Tax administrations and taxpayers should also bear in mind that changing the reasonable allocation key can give rise to considerable complexities. It is expected that the taxpayer will describe in its documentation (see paragraph 7.95) the reasons for concluding that the allocation key produces outcomes which reasonably reflects the benefits likely to be derived by each service recipient.

E.2.4. Profit mark-up

7.92. In determining the arm's length charge for low value-adding intra-group services, the MNE provider of services shall apply a profit mark-up to all costs in the pool with the exception of any pass-through costs as determined under paragraphs 2.99 and 7.63-7.65. The same mark-up shall be utilised for all low value-adding services irrespective of the categories of services. The mark-up shall be equal to 5% of the relevant cost as determined in Section E.2.2. The mark-up under the simplified approach does not need to be justified by a benchmarking study. The same mark-up may be applied to low value-adding intra-group services performed by one group member solely on behalf of one other group member, the costs of which are separately identified under the guidance in paragraph 7.88. It should be noted that the low value-adding intra-group services mark-up should not, without further justification and analysis, be used as benchmark for the determination of the arm's length price for services not within the definition of low value-adding intra-group services, nor for similar services not within the elective, simplified scheme.

E.2.5. Charge for low value-adding services

7.93. Subject to the provisions of paragraph 7.86, the charge for services to any member of the electing MNE group shall be the sum of (i) the costs incurred by another group member in providing services specifically to the member under the second step as detailed in paragraph 7.88, plus the selected profit mark-up, and (ii) the share of pooled costs allocated to the member under the third step as detailed in paragraph 7.90 using the selected allocation key, plus the selected profit mark-up. The charge is payable to the group member that incurred the costs in the pool, and where there is more than one group member incurring those costs, in proportion to each member's share of the pooled costs.

E.2.6. Threshold for the application of the simplified approach

7.94. Tax administrations adopting the simplified approach to low value-adding intra-group services set out in this section may include an appropriate threshold to enable them to review the simplified approach in cases where the threshold is exceeded. Such a threshold might, for example, be based on fixed financial ratios of the recipient party (e.g. proportion of intra-group services costs to total costs or turnover or pre-intra-group service charge profit) or be determined by reference to a group-wide ratio of total service costs to turnover of the MNE group or some other appropriate measure. Where such a threshold is adopted, the tax administration would not be obliged to accept the simplified approach if the level of low value-adding intra-group service fees exceeds the threshold and may require a full functional analysis and comparability analysis including the application of the benefit test to specific service charges.

E.3. Documentation and reporting

7.95. An MNE group electing for application of this simplified methodology shall prepare the following information and documentation and make it available upon request to the tax administration of any entity within the group either making or receiving a payment for low value-adding intra-group services.

- A description of the categories of low value-adding intra-group services provided; the identity of the beneficiaries; the reasons justifying that each category of services constitute low value-adding intra-group services within the definition set out in Section E.1; the rationale for the provision of services within the context of the business of the MNE; a description of the benefits or expected benefits of each category of services; a description of the selected allocation keys and the reasons justifying that such allocation keys produce outcomes that reasonably reflect the benefits received, and confirmation of the mark-up applied.
- Written contracts or agreements for the provision of services and any modifications to those contracts and agreements reflecting the agreement of the various members of the group to be bound by the allocation rules of this section. Such written contracts or agreements could take the form of a contemporaneous document identifying the entities involved, the nature of the services, and the terms and conditions under which the services are provided.
- Documentation and calculations showing the determination of the cost pool as described in Section E.2.2, and of the mark-up applied thereon, in particular a detailed listing of all categories and amounts of relevant costs, including costs of any services provided solely to one group member.
- Calculations showing the application of the specified allocation keys.

E.4. Levying of withholding tax on charges for low value-adding intra-group services

7.96. The levying of withholding taxes on the provision of low value-adding intra-group services can prevent the service provider recovering the totality of the costs incurred for rendering the services. When a profit element or mark-up is included in the charge of the services, tax administrations levying withholding tax are encouraged to apply it only to the amount of that profit element or mark-up.

Annex I to Chapter VII: Examples on intra-group service

The adjustments and assumptions about arm's length arrangements in the examples that follow are intended for illustrative purposes only and should not be taken as prescribing adjustments and arm's length arrangements in actual cases or industries. They are necessarily presented with limited facts.

While the examples seek to demonstrate the principles of Chapter VII of the Guidelines, those principles must be applied according to the specific facts and circumstances of the case. As such, the examples should not be used to interpret superficially similar cases.

Example 1

1. Retailer Group, originally a retailer which carried on its business largely through physical stores, developed in past years a successful online business which represents the majority of its current revenues. These online business activities are operated in various jurisdictions by several group entities other than Company A, which centralises all Retailer Group's IT-related support services, including IT helpdesk, procurement of IT equipment and maintenance of messaging platforms, cybersecurity, as well as governance and compliance implementation support. Company A charges Retailer Group's subsidiaries an arm's length amount for these IT support services.

2. Retailer Group aims to further strengthen its online presence and scale down the number of physical stores in future years. As part of that strategy, Retailer Group finds it critical to understand whether its current digital procedures and systems are sufficiently protected or whether the group needs to strengthen its systems security against cyberattacks.

3. Company A hires an external service provider to assess the best options to protect Retailer Group's entities from data breaches and cyberattacks. None of the subsidiaries has performed such an analysis for itself nor taken any other mitigation actions.

4. Company A assesses Retailer Group's exposure to digital security risks based on the external service provider recommendation and its own insights and weighs the options formulated by the external service provider. Company A decides to implement additional digital security systems to protect the group from cyberattacks.

5. Consequently, Company A charges Retailer Group's subsidiaries an arm's length amount that takes into account the assessment and the activities performed leading to the implementation of enhanced digital security systems on the basis that they provide economic or commercial value to group entities for which independent enterprises would have been willing to pay or perform for itself.

Scenario A

6. Two years after Company A's implementation of the new systems, some of the members of the group suffer a breach of confidential information due to a cyberattack. Based on the urgent request from the affected entities, Company A immediately provides assistance and support to recover their data and restore control of the IT systems. Some of

the group entities suffer reputational damage leading to the temporary loss of customers or the need to grant certain commercial advantages to retain customers. In fact, the success of the cyber-attack and the damage resulting from this attack was not a result of inadequate performance of the service by Company A.

7. The data breach does not constitute sufficient grounds to negate the existence of the service provided by Company A. When Company A performed the assessment, there was a reasonable expectation that group entities would benefit by minimizing the risk of a data breach or cyberattack.

Scenario B

8. Company B, located in Country B, is another member of Retailer Group and has experienced losses in the relevant years under examination. According to the accurate delineation of the controlled transaction, Company B is found to be one of the service recipients of the activities performed by Company A.

9. The mere fact that Company B has been operating at a loss in the relevant years under examination does not provide grounds to conclude that no intra-group service has been rendered.

Example 2

10. Hotel Group operates hotels in Country A, Country B, and Country C through its group members Company A, Company B, and Company C, each operating in their respective jurisdiction. Company A in Country A centralizes the marketing and sales team that customizes the services to the group members in Country A and Country B, depending on the profile and maturity of their business in the regions the group operates, provides advertising campaigns, manages and maintains the centralized reservation systems, and develops the loyalty programs.

11. Hotel Group aims to increase its corporate clients market share in Country A and Country B over five years, and creates a new corporate client unit within the marketing and sales team to achieve that objective.

12. The corporate clients unit identifies prospective clients, categorises them by size and revenue potential, develops meeting packages and corporate partnerships programs that are then offered locally by each hotel, develops and runs new digital marketing campaigns on social networks, identifies and manages membership to corporate travel platforms offering business-to-business contracts, and, together with the hotels, identifies and applies to tenders from global corporations looking for preferred hotel partners. These marketing and sales initiatives are projected to drive market share gains, which are expected to deliver incremental revenue growth between 30-45% by year five in both Country A and Country B. In addition, over the fifth-year period, Company A conducts ongoing evaluations and reviews of its initial plans in order to adapt to evolving market conditions.

Scenario A

13. A year after the creation of the new unit, hotels in Country A and B have grown its corporate client portfolio, and the expectation is that the trend continues so that, by the end of the fifth year, hotels in Company A and B will have hit the target established for

corporate clients. The activities performed by the corporate clients unit in Company A for hotels in Country A and B constitute intra-group services, as they provide economic or commercial value for which independent enterprises in comparable circumstances would have been willing to pay or perform for themselves.

Scenario B

14. Assume the same fact pattern as in Scenario A, except that two years after the establishment of the corporate clients unit, several new competing hotel chains enter the market in Country B, actively targeting Hotel Group's corporate clients with competitive pricing and enhanced service offerings. As a consequence, some of Hotel Group's hotels in Country B suffer a decline in bookings from corporate clients. Despite Hotel Group's efforts to strengthen marketing and improve service quality, increased competition in Country B led to a sharp drop in business and revenues. By the fifth year of introducing the corporate clients unit the accumulated incremental revenue growth is only 10%. In this example, a service is considered to be provided by Company A to Company B even though the revenue growth has not materialised as expected due to the competitive market conditions.

Scenario C

15. In addition to the facts in Scenario A, assume that during the same period of time, hotels in Country C also experience an increase in sales. This is mainly due to greater affluence of tourists, which is the consequence of improved infrastructures and the popularity of Country C as a shooting location for entertainment programs. In this case, the increase in profitability of Company C cannot be attributed to the activities of the new corporate clients unit in Company A, as it does not perform any activities for Company C in that client segment. Instead, it is the consequence of exogenous factors which have created higher demand that allows Company C to fully book hotels in Country C and increase prices. Therefore, the activities undertaken by Company A will not be considered as a service rendered to Company C.

Example 3

16. Company A, located in Country A, performs certain accounting and legal support activities and Company B, located in Country B, pays Company A for those activities. Company B employs accounting and legal personnel, and they undertake work that differs from the services provided by Company A.

17. In the context of intra-group services, the benefit test requires that, to consider that a service has been rendered, an independent enterprise in comparable circumstances to Company B would be willing to pay for the activity or perform it itself. The mere fact that Company B has internal capability to perform the service does not preclude the recognition of a service for the activity performed by Company A.

Example 4

18. Company A operates under a franchise agreement with Company B and pays a franchise fee to Company B for the right to use its brand and related intangibles. The brand

and related intangible assets of Company B are essential to Company A's business operations.

19. The franchise agreement requires Company B to further develop and maintain global brand assets through global marketing activities, such as overall brand strategy and brand asset development.

20. The comparable franchise agreements that are used to substantiate the franchise payment show that the comparable rights granted include global brand management functions. Therefore, at arm's length, Company B would not charge a separate service fee for global marketing since those activities are already compensated through the franchise fee.

Example 5

21. Company A, which is the parent of an MNE Group, operates a management information system that collects financial and operational data from all group entities and incorporates such data into Company A's managing and reporting systems.

22. This system supports a variety of activities, including internal budgeting decisions made by the subsidiaries, performance control and assessment of affiliated entities, and the preparation of quarterly, semi-annual, and annual consolidated financial statements which meet the external reporting requirements of Company A. Based on the information gathered and analysed, Company A issues quarterly operational recommendations to its subsidiaries to strengthen financial performance and operational efficiency, including advice on reallocating capital from underperforming business lines to higher-growth segments .

23. To the extent the activities are performed by Company A solely because of its ownership interest such as Company A's accounting reporting requirements (including the consolidation of the reports as parent of the MNE Group), they are shareholder activities and, therefore, are not services because they do not provide a benefit. But, to the extent that the recommendations by Company A help to strengthen the financial performance and operations of the subsidiaries such as the advice on reallocation of capital towards higher growth segments, the benefit test may be met and an intra-group service rendered. Accordingly, a service fee may be charged by Company A to the subsidiaries with respect to the recommendations.

Example 6

24. Parent Co is the parent of an MNE group. Parent Co's board of directors starts a new project to identify potential buyers for one of its subsidiaries, Company B, which is being considered for divestment.

25. The objective of Parent Co's project is the potential divestment of Company B, including the identification of potential buyers, the structuring of the transaction, and the legal, regulatory and due diligence issues. Parent Co's activities in relation to the disinvestment in Company B do not include providing services or advice to other subsidiaries, though it is expected that Parent Co will gain a better understanding of overall group operations. In this situation, the activities performed by Parent Co constitute shareholder activities because they relate solely to its ownership interest in Company B and

are activities which an independent enterprise in comparable circumstances would not be willing to pay for or perform for itself.

26. Parent Co later decides to assess other subsidiaries' operations to eliminate inefficiencies, including some similar to those inefficiencies that had been identified in the process of divesting in Company B. Parent Co implements changes in subsidiaries to improve their day-to-day operations and productivity. Parent Co also assists in implementing improvements among several subsidiaries. In this situation, the activities performed by Parent Co provide a benefit to those subsidiaries within the meaning of paragraph 7.13. Therefore, the activities of Parent Co should be characterized as a service and not as a shareholder activity.

Example 7

27. Parent Co is the parent entity of an MNE group. It also centralises the treasury functions of the group, which include granting funding to subsidiaries in exchange for an arm's length return.

28. Company A, a manufacturing subsidiary, has incurred losses in recent periods due to market conditions. As a result, Parent Co decides to sell Company A to an independent party. Parent Co incurs legal and advisory costs related to the divestment process.

29. With the divestment, Parent Co obtains a gain in the form of the consideration paid by the buyer and a reduction of the funding costs related to Company A. Accordingly, the group as a whole experiences additional financial benefits, including increased cash flow. These benefits obtained by other group entities would, however, be of an incidental nature because the potential benefits to group entities at the time of the divestment in Company A were indirect or remote such that independent enterprises in comparable circumstances would not be willing to pay for these activities or perform them for themselves.

30. The activities undertaken by Parent Co to divest in Company A would be considered as shareholder activities because they are performed by Parent Co solely because of its ownership interest and only provide a benefit to itself, i.e., they do not provide a benefit to other group entities within the meaning of paragraph 7.13. Therefore, the costs incurred by Parent Co in the divestment of Company A are shareholder costs.

Example 8

31. Parent Co is the parent company of an MNE Group. Parent Co owns Company A and Company B, which perform manufacturing and distribution activities, respectively. Parent Co decides to diversify its business portfolio and enter a new industry by acquiring Enterprise Co, an independent foreign entity located in Country E. This investment is expected to increase shareholders' value at the level of Parent Co, but it is not expected to introduce changes to operations of Companies A and B.

32. As part of this acquisition, Parent Co raises the necessary funds for the acquisition of Enterprise Co, complies with all M&A requirements and takes the necessary actions so that Enterprise Co is operationally viable following the acquisition.

33. The activities undertaken by Parent Co to acquire Enterprise Co would qualify as shareholder activities because they are performed by Parent Co solely because of its ownership interest and only provide a benefit to itself, i.e. they do not provide a benefit to other group entities within the meaning of paragraph 7.13. As a result of the acquisition of

Enterprise Co, Companies A and B may derive benefits. However, these would be of an incidental nature because the potential benefits at the time of the acquisition of Enterprise Co were indirect or remote such that independent enterprises in comparable circumstances would not be willing to pay for these acquisition activities or perform them for themselves.

Example 9

Scenario A

34. Company B in Country B is a subsidiary in charge of the worldwide distribution of new products of an MNE group in the apparel industry. The MNE group is developing the strategy to launch a new line of products (clothing, accessories) addressed to men 25-45 years old. In line with the strategy being developed, Company A in Country A undertakes market research to identify potential ambassadors for a new product to be launched by Company B. Company B designs the launch campaign, decides which products will be sold through different distribution channels and develops the marketing campaign to be used by retail companies reselling the new product.

35. In this case, there is no duplication because the marketing activities performed by Company A for Company B differ from those undertaken by Company B itself in relation to the same products.

Scenario B

36. The facts are the same as in Scenario A except that Company B also takes responsibility for identifying ambassadors to advertise the new products in Country B. Company A retains the responsibility for identifying ambassadors and celebrities in the other regional markets where Company B distributes the products. The ambassadors identified by Company B are relevant only for Country B, and do not affect consumer perception elsewhere. The geographic distinction limits their promotional impact to their own markets due to cultural, linguistic, and demographic factors influencing consumer behaviour.

37. In this case, the market research by Company A to identify potential ambassadors would not be duplicative of the market research by Company B, because they have different geographic scopes. This allows Company B to customize the marketing campaign by region. Therefore, given that Company B obtains commercial value from Company A's activities, these satisfy the benefit test and constitute an intra-group service.

Scenario C

38. The facts are the same as in Scenario A, except that Company B is responsible for designing a global marketing campaign for the new line of apparel of the MNE Group, which will be displayed in all countries where its products are sold. However, Company B does not have in-depth knowledge of local customs, cultural sensitivities, languages, or legal and regulatory requirements in each country. For purposes of implementing the different marketing activities, Company B outsources to Company A the verification of whether the global marketing campaign complies with local customs, as well as legal and regulatory requirements and to translate the campaign to local languages.

39. Although both companies perform activities related to the global marketing campaign, the mere fact that their activities relate to the same overall initiative does not, in

itself, lead to the conclusion that the activities are duplicative. The activities undertaken by Company A are separate and distinct from the activities performed by Company B. Therefore, there is no duplication.

Example 10

40. Company A, a manufacturing entity of an MNE group, approaches Supplier, an independent supplier, to buy raw materials for its production activities. Based on Company A's standalone product specificities and volume demands, Supplier would normally charge €10 per unit.

41. However, Supplier expects long-term business with the MNE group and aims to become the main supplier of raw materials for other manufacturing subsidiaries, despite these currently relying on different suppliers. Accordingly, Supplier offers Company A a reduced price of €8 per unit, even though Company A itself does not place larger orders.

42. The price reduction obtained by Company A is attributable solely to its being part of a larger MNE group, i.e. from passive association, and not from deliberate concerted action of group members or the performance of any service or other function by group members. The only activity is the decision of an independent enterprise to offer a reduced rate in the hope of attracting future business from other members of Company A's group, which is not a relevant activity for purposes of the benefit test. Therefore, in this case, there is no intra-group service transaction.

Example 11

43. Company A, located in Country A (a low-cost jurisdiction), provides IT and back-office support services to various affiliates across the MNE group, including Company B, a principal operating company in Country B (a high-cost jurisdiction).

44. In its transfer pricing documentation, Company A applies the CUP method to support the intra-group service fee charged to Company B. Company A's analysis relies on a median derived from independent service contracts spanning several jurisdictions, including both high-cost and low-cost markets, without making geographic adjustments or differentiating for location-specific pricing conditions.

45. The accurate delineation of the transaction indicates that reliable adjustments would be required to account for comparability differences in market conditions. However, there are no data available that would enable reliable adjustments to account for these factors. . Therefore, in such case, in line with the facts and circumstances, Company A's analysis would not lead to a reliable application of the CUP method.

Example 12

46. Company A, the parent company of an MNE group distributing professional apparel, performs coordination and liaison activities to source finished goods supplied by third-party contract manufacturers in low-cost jurisdictions. Company A has developed long-term relationships with the third-party suppliers within the location of those manufacturers.

47. After a number of years, Company A establishes a new affiliate, Company S who provides procurement support services for the MNE group and is responsible for assisting with analytical support in relation to new supplier selection and reviewing contractual terms with suppliers. While Company A conducts operational negotiations and logistics coordination, Company S does not interact directly with the third-party suppliers. Further, the title to the sourced finished goods does not pass to Company S, and the goods are delivered directly from the suppliers to affiliates in markets where they are sold, with Company A coordinating shipping and logistics with suppliers.

48. In its transfer pricing documentation, Company S applies the CUP method, benchmarking its intra-group service fees against third-party sourcing agents who have full suite of activities including negotiation with prices and commercial terms, quality control, and supply chain management.

49. The accurate delineation of the transaction indicates that the primary role of Company S is to provide limited procurement support to Company A. Company S does not perform activities undertaken by comparable agents such as negotiations with third-party suppliers, determining prices and key commercial terms, or managing supply chain, nor does it assume risks comparable to those borne by such agents.

50. Given the limited operation of Company S, together with the differences in functions and risks in comparison with independent agents, Company S is not comparable to independent agents and the independent party sourcing contracts cannot be used to reliably apply the CUP method.

Example 13

51. Pharma Co, a multinational pharmaceutical group, centralises its drug development pipeline through a research and development subsidiary, Company A. The group also leverages the expertise of Company B, a specialized subsidiary focusing on clinical trials using computational biology and advanced data analytics.

52. To support the development of a portfolio of new drugs, Company A engages Company B for its data analysis and patient stratification services. At the time of the service agreement, the possibility that any new drugs will be successfully developed is highly uncertain.

53. The accurate delineation of the transaction indicates that Company A will own and exploit the intellectual property of any drug developed under the agreement, in addition to existing intellectual property that it uses in managing the R&D program, and that it assumes the economically significant risks associated with the development of the drugs, including the significant financial risk of R&D failure. Further, it indicates that Company B owns intellectual property that it uses to analyse genetic and biomarker data to identify patients most likely to respond to the new drugs. Moreover, Company B designs and executes the clinical trials, assumes the associated economically significant risks with respect to those trials, and has a proven track record of significantly shortening trial timelines and increasing the probability of successful outcomes.

54. Based on industry practices documented by Company A, the remuneration of the service is structured to ensure that Company B can continue its operations on a rolling basis while, at the same time, incentivising Company B to achieve successful outcomes defined as specific clinical milestones that prove the drug is effective and safe taking into consideration the risks that it assumes and intellectual property that it uses in providing the services. Accordingly,

- Company A pays an annual fee that covers Company B's operational costs and includes a benchmarkable mark-up.
- In addition to the annual fee, Company B will receive a contingent payment tied to Company B's performance (e.g. upon successful completion of proprietary genetic and biomarker analyses) computed ex-ante and implemented as a milestone-based success fee.

55. The accurate delineation shows that both Company A and Company B contribute pre-existing intangibles which represent unique and valuable contributions to the intra-group service transaction, separately assume closely related economically significant risks, and operate in a highly integrated manner. In line with the facts and circumstances, the transactional profit split method would be the most appropriate method, and the use of a milestone fee would be consistent with the application of the transactional profit split method in this case.

Example 14

56. MNE Group X is active in the consumer electronics industry and operates several regional production facilities. Company A is a subsidiary of Group X that is responsible for global product development and marketing. Company B is another subsidiary of Group X that carries out manufacturing activities under the direction of Company A.

57. Company B has built and equipped its plant according to Company A's specifications. Products are manufactured according to the technical requirements and designs provided by Company A. Company A also performs regular quality checks of the manufacturing process and assures that the entire output of Company B is purchased, assuming quality requirements are met.

58. Company B operates under extensive instruction from Company A about what to produce, how to produce, in what quantity and of what quality.

59. Company B trains competent manufacturing personnel, determines production scheduling based on volume levels determined by Company A, coordinates supplies, performs quality and process control according to the instructions received and transforms the raw materials or components into a different product. Regarding the supply chain, Company B purchases the raw materials or components needed for the production from independent parties, which can be providers determined by Company A or local providers selected by Company B.

60. Economically significant risks associated with generating a return from the manufacturing activities are assumed by Company A. Company B assumes the risk of failing to competently deliver the manufacturing services.

61. Based on the facts and circumstances, the services provided by Company B to Company A may be appropriately priced using the cost-plus method or the transactional net margin method based on comparable manufacturers.

Example 15

Scenario A

62. MNE Group X is a multinational pharmaceutical group engaged in the development of therapeutic compounds. Company A employs senior staff responsible for directing and controlling the R&D, acts as the group's global research and development leader and holds legal ownership of the intangibles arising from R&D activities undertaken within the group in addition to the pre-existing intangibles that Company A uses to manage the R&D projects. Company B, an associated enterprise, conducts research activities on behalf of Company A.

63. Pursuant to a detailed service agreement, Company B performs research services exclusively for Company A. The agreement defines the scope of the assigned research programme, specifies scientific protocols to be followed, sets reporting obligations, and confirms that all intellectual property rights resulting from the activities remain with Company A. Company B is required to operate within pre-defined parameters established by Company A and exercises little to no discretion over the direction of the research. Company B does not bear the risk of unsuccessful research outcomes.

64. The accurate delineation of the transaction determines that the parties operate in accordance with the contractual arrangements, and Company B performs its functions under the direction and control of Company A. Taking into account the functions performed, assets used, and risks assumed, the arrangement would be characterised as contract research services provided by Company B to Company A. In line with the facts and circumstances, the services may be appropriately priced using the cost-plus method or the transactional net margin method using a cost-based profit level indicator. See Chapter II.

Scenario B

65. In a separate arrangement within the same group, Company C, located in Country C, undertakes early-stage exploratory research under a more broadly defined framework. Company C is responsible for identifying areas of research, assessing technical and commercial feasibility, and making decisions regarding the continuation or termination of specific research activities. While Company A retains legal ownership of the resulting intangibles, the agreement grants Company C a high degree of autonomy over the execution of the research using its own specialized intangible property.

66. The accurate delineation of the controlled transaction indicates that Company C's control over key aspects of the research process contributes to the development of unique and valuable intangibles. The performance of additional functions such as identifying commercially valuable areas and assessing the risk of unsuccessful research are found to be critical.

67. The MNE group conducts the business activities, generating non-routine profits through the use of intangibles resulting from the R&D activities conducted by Company C, as well as other intangibles owned by Company A. These intangibles are employed in the MNE group's business operation in an integrated manner and cannot be utilized separately.

68. After analysing the contributions of Company A and Company C in terms of functions, assets and risks, both parties to the transaction are found to make unique and valuable contributions, and their operations are highly integrated so the conditions for applying the transactional profit split method are met. Therefore, this method may be the most appropriate for pricing the transaction in line with the guidance in Chapter II.

Example 16

69. An MNE group in the healthcare sector aims to enhance patient care by developing a machine learning model to deliver personalised treatment plans. By analysing a patient's genetic data, medical history, and lifestyle, the machine learning solution will help doctors anticipate individual responses to specific medications or therapies.

70. Given the sensitive nature of the data, the MNE group opts to build and maintain its own machine learning model to retain full control over privacy and security. The development of the model will be led by Company A, which will legally own and use the model to provide a service to associated parties X, Y and Z consisting of the continuous delivery of personalized treatment recommendations. Company A will oversee and set the overall strategy of the project and bear the associated economically significant risks.

71. To develop the model, Company A collects and prepares the proprietary datasets for the purpose of training the model and uses proprietary tools to clean and anonymise large and high-quality datasets in line with regulatory requirements. Company A also leverages its advanced computational resources, including high-performance graphic processing units, to train and optimise the model so it accurately learns from the data. Company A then tests the trained model on new data to confirm its reliability and ability to generalise beyond the training datasets and generates a ready-to-use model, which Company A will continuously monitor to ensure performance and high standards of accuracy.

72. The accurate delineation of the transaction indicates that Company A hosts and maintains the model and bears the operational risks of providing the service by being responsible for the uptime, security, and performance of the model so if the platform goes down or provides an inaccurate prediction, Company A will be responsible for fixing it. Company A's provision of these services to Companies X, Y and Z results, as a practical matter, in transfers of intangibles in the form of personalised treatment plans.

73. Given the development, use and contribution of unique and valuable intangibles through the performance of the intra-group service, it is unlikely that it will be possible to identify suitable comparables to apply the cost-plus or transactional net margin method with Company A as the tested party.

Example 17

74. Company A owns a valuable supply management platform and associated tools. Company A authorises its associated enterprise, Company B, to use this intangible. The staff members of Company B use the intangible to perform supply management services for other affiliates within the group. In its transfer pricing documentation, Company B applies the transactional profit split method to determine its remuneration for the services provided.

75. However, upon review of the facts and circumstances and accurate delineation of the transaction, it appears that Company B undertakes routine service functions and does not make any unique and valuable contributions. Moreover, the review indicates that Company A and Company B do not have highly integrated business operations, and do not share the assumption of economically significant risks nor do they separately assume closely related economically significant risks.

76. In such circumstances, the application of the transactional profit split method would not represent the most appropriate method for determining arm's length pricing, consistent

with paragraphs 2.126 and 2.127 of Chapter II. Where one party contributes the relevant intangibles and the other performs routine functions, a one-sided method would provide a more reliable outcome.

Example 18

77. Members of MNE Group XYZ operate in the construction industry, contracting with independent customers to develop and complete large-scale and sophisticated construction projects around the world. The parent of MNE Group XYZ ("Company P") has developed substantial proprietary know-how and other intangibles (collectively, "Core IP") relevant to the construction of buildings and manufacturing facilities, relying on a collection of designs, methods and procedures to ensure that all MNE group construction projects are reliably and efficiently developed and completed in accordance with high-quality standards.

78. In connection with each project undertaken by MNE Group XYZ affiliates, Company P monitors and oversees the progress of each project and commits to assist those members, as necessary, to ensure that each project will be completed successfully and consistently with the high standards of MNE Group XYZ. In receiving these services, the affiliates gain access to Core IP including blueprints, whitepapers, tools, and methods developed by Company P over decades, as well as know-how in the form of technical training and advice on standard technical procedures. Explicit licenses or IP transfers from Company P to the affiliates are not executed, and Company P retains all proprietary and development rights in Core IP and has all decision-making authority needed to approve any projects that may substantially deviate from the MNE Group XYZ standards and practices that are embodied in the Core IP.

79. The MNE group affiliates price the services provided by Company P using the transactional net margin method, treating Company P as the tested party for that purpose. As comparables, service providers otherwise functionally similar to Company P were selected, but unlike Company P, they neither developed nor provided access to critical proprietary know-how and other valuable IP that is similar to Core IP in its importance to the success or failure of the business, when providing their services to independent clients.

80. In these circumstances, it will not be appropriate to select Company P as the tested party because the purported comparables differ materially from Company Pin respect of developing and providing access to Core IP. This makes Company P's TNMM unreliable because it lacks consideration of the value of Core IP in connection with the services. See paragraph 2.65 of Chapter II.

Example 19

81. Company A, a service provider within an MNE group headquartered in Country A, applies the transactional net margin method to determine the transfer price for services it renders to other group members. For these services, Company A charges a mark-up of 3% on total costs using return on total costs (ROTC) as the net profit indicator. The services provided do not meet the criteria to qualify as low value-adding intra-group services as defined under Section E.

82. Upon audit, the tax administration in Country A, where the service provider is located, contests the application of the 3% mark-up on total costs asserting that because the services do not qualify as low value-adding intra-group services, the mark-up should not

be lower than 5%, referring to the 5% safe harbour mark-up associated with the simplified approach for low value-adding intra-group services in Section E.

83. However, paragraph 7.92 of Chapter VII of these Guidelines provides that the 5% mark-up applicable under the simplified approach for low value-adding intra-group services "should not, without further justification and analysis, be used as a benchmark for the determination of the arm's length price" for services that do not qualify as low value-adding intra-group services. Thus, the fact that the services do not satisfy the definition of low value-adding intra-group services for purposes of applying Section E does not imply that a higher mark-up must necessarily be applied. The determination of an arm's length mark-up for services that are outside the low value-adding intra-group services scope requires a separate transfer pricing analysis, taking into account the functions performed, assets used, and risks assumed in providing the services. Depending on the specific facts and circumstances, the arm's length mark-up rate for such services could be above, equal to, or even below 5%.

Example 20

84. MNE Group G sells branded consumer products that are popular in several regions due to high-quality standards and successful recurring advertising campaigns. Group G outsources its advertising media strategy to independent advertising agencies and media strategy firms.

85. Group G incorporates Company Z to expand into Region Z. Company Z coordinates marketing for affiliates within Region Z, in particular Company Q based in Country Q. Company Z engages independent advertising agencies to develop marketing strategies and advertising campaigns for Company Q with respect to Country Q. Company Z has 5 employees who coordinate with such advertising agencies in Region Z. The marketing strategies and advertising campaigns are solely developed by the independent advertising agencies.

86. Company Z executes an intercompany marketing services agreement with Company Q, which describes Company Z's role to coordinate with the independent advertising agencies and affiliates to facilitate implementation in Country Q. The independent advertising agencies place 200 million Euro worth of advertisements per year in Region Z on behalf of Region Z affiliates, including Company Q, by acquiring advertising space from regional and local TV networks and other media outlets. Company Z also pays these independent advertising agencies for advertising strategy services totalling approximately 240 million Euro per year, to determine the best advertising spots, locations, and time slots for relevant products. Thus, Company Z pays the independent advertising agencies a total of 440 million Euro per year for the advertising placements and strategy services combined.

87. The accurate delineation of the transaction shows that Company Z does not make contributions beyond its coordination activities for any of the affiliates within Region Z. Further, it shows that Company Z is merely an intermediary and is not contributing to the service being provided by the independent advertising agencies beyond its own intermediary activities. Furthermore, Company Q could have incurred the advertising spend and advertising strategy fees directly, with Company Z acting merely as the paying entity. Group G does not pay the independent advertising agencies a mark-up on the advertising spend. Information such as advertising industry studies and financial statements of purportedly comparable advertising firms show that advertising spend by independent advertising agencies on behalf of their clients is rarely marked up in uncontrolled

transactions. Instead, once the independent advertising agencies pay such advertising spend directly to independent broadcast networks and media firms, they pass through those costs to the client with no mark-up in most cases, because the benefits provided by the independent advertising agencies' role in selecting and booking ad campaigns are not proportionate with the advertising spend itself. Rather, the evidence shows that advertising agency compensation generally does not relate to the value or size of the advertising spend for advertising campaigns.

88. Thus, the costs of 200 million Euro per year of placing the advertisements with TV networks which are most often passed through by independent advertising agency services firms themselves at arm's length should be passed through from Company Z to Company Q without a mark-up. Additionally, Company Z only acts as the paying entity and does not make any contribution in relation to the 240 million Euro per year paid with respect to the advertising strategy fees beyond its own intermediary activities. Therefore, these costs should also be passed through to Company Q without a mark-up. Receiving a mark-up on advertising spend and advertising strategy services would result in compensation in excess of what Group G itself pays the advertising agencies, would be disproportionate with the benefit that Company Z provides, and would not be arm's length. Company Z should earn an arm's length remuneration for the performance of the coordination functions.

Example 21

Scenario A

89. Company A is located in Country A and performs IT support activities for its subsidiary, Company B, located in Country B, which are IT-related services that are commonly required by similar businesses. The provision of these services is documented in Company A's master file, Company B's local file, and as part of any other local documentation requirements in Country A and Country B, including a detailed calculation of the service fee paid by Company B to Company A.

90. However, the tax authority in Country B considers the documentation provided insufficient and requests further proof that the IT support activities had been performed for Company B by Company A. Company B provides a list of IT interventions by Company A, as well as incidents raised by Company B for each year under examination, which includes details such as the ticket number, date, description and outcome of the service. The tax authorities of Country B, based on the facts and circumstances of this case (e.g. that such IT-related services are commonly required by similar businesses, the volume of the services), consider that a representative sample of IT tickets issued may be useful in substantiating the provision of IT services provided by Company A to Company B.

Scenario B

91. The facts are the same as in Scenario A. However, as the audit progresses, the tax authorities in Country B find that Company B also receives IT services from a local independent enterprise. To determine whether there is duplication with the IT services provided by the independent enterprise, the tax authorities of Country B request a copy of the contracts of the IT services with the local independent enterprise. The tax administration of Country B cannot conclude, on the basis of the documentation provided so far by Company B, that there is no duplication, because the terms of the contract with the local independent enterprise are broad and could include certain activities performed by Company A. To fully understand the nature of the actual activities performed by Company

A and the local independent enterprise and reach a conclusion of whether there is duplication, the tax authorities of Country B may request additional relevant evidence from Company B, which the taxpayer would be expected to provide, such as information regarding the type of IT services actually provided, organisational charts with descriptions of each role, or information gathered through interviews with relevant parties.